

1) Define Accounting and explain its types.

- * Accounting is the systematic process of recording, classifying, summarizing and interpreting financial transactions of a business organization.

- * It helps in understanding the financial position and performance of a business.

- * Accounting provides useful information to management, investors, auditors and government for decision-making.

Objectives :

- * To maintain systematic records of transactions.

- * To determine profit or loss.

- * To show financial position.

- * To help in decision making.

- * To provide information to stakeholders.

Types :

1) Financial Accounting :

- * Financial Accounting deals with recording and reporting financial transaction of a business.

→ Features :

- * Based on accounting principles

- * Prepares final accounts

- * Historical in nature

→ users :

- * Investors

- * Creditors

- * Government

2) Cost Accounting :

- * Cost Accounting is concerned with ascertaining and controlling the cost of production.

→ Functions :

- * cost determination
- * cost control
- * cost Reduction

→ Advantages :

- * Helps in fixing price
- * Improves efficiency
- * Reduces wastage.

3) Management Accounting :

* Management accounting provides Financial information to management for decision making.

→ Uses :

- * planning
- * controlling
- * decision-making.

4) Tax Accounting :

* Tax accounting deals with preparation of Tax returns and tax planning.

→ Importance :

- * Ensures proper tax payment
- * Avoids legal issues
- * Helps in tax saving.

5) Auditing :

* Auditing is the verification and examination of Financial records.

→ Objectives :

- * Ensures Accuracy
- * Detect fraud
- * Increase reliability.

2) Explain different types of Interest formulas.

* Interest rate can be classified into simple interest rate and compound interest rate.

* In simple interest, the interest is calculated based on the initial deposit for every interest period.

* In compound interest, the interest for the current period is computed based on the amount at the beginning of the current period.

* The notations which are used in various interest formula as follows:

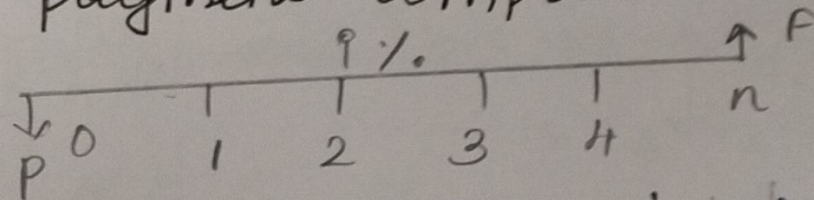
*) P = principal amount *) N - No. of interest periods

*) i = interest rate *) F = Future amount at end of year n

*) A = equal Amount deposited at end of every interest period.

*) G = uniform amount which will be added / subtracted period of 1 from the amount of deposit A / at end of period 1.

*) Single Payment Compound Amount.

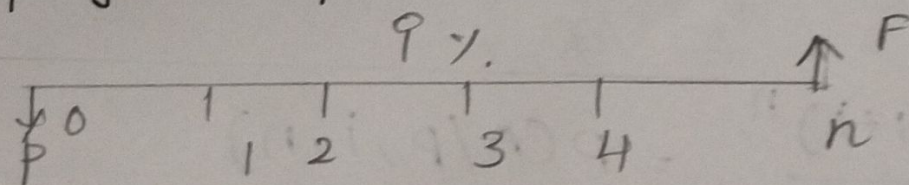


$$F = P(1+i)^n = P(F/P, i, n)$$

Where,

$(F/P, i, n)$ is called as single-payment Compound amount factor.

*) Single payment present Worth Amount:

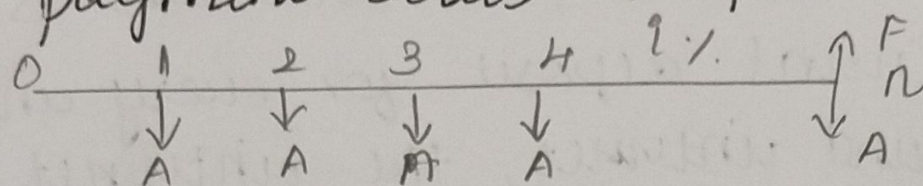


$$P = \frac{F}{(1+i)^n} = F(P/F, i, n)$$

Where,

$(P/F, i, n)$ is termed as single payment present Worth factor.

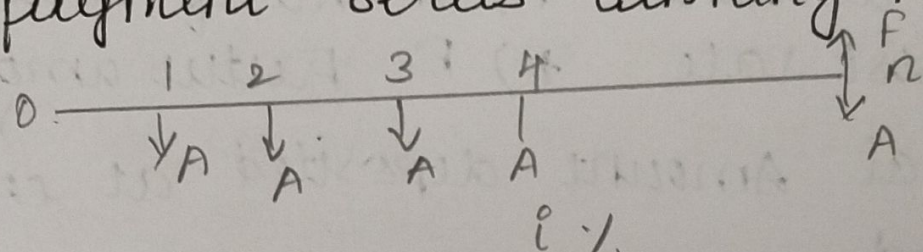
* Equal payment series compound Amount.



$$F = \frac{A(1+i)^n - 1}{i} = A(F/A, i, n)$$

Where $(F/A, i, n)$ is equal payment series compound amount factor.

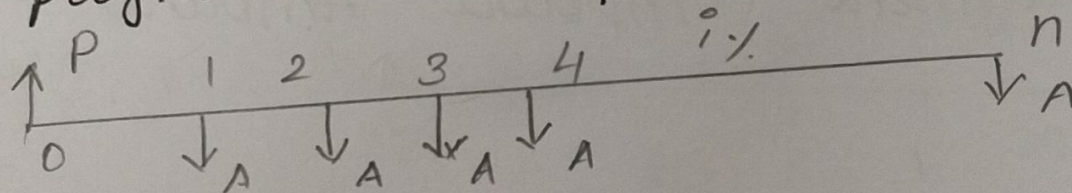
* Equal payment series sinking Fund:



$$A = F \frac{1}{(1+i)^n - 1} = F(A/F, i, n)$$

Where, $(A/F, i, n)$ is equal payment series sinking Fund Factor.

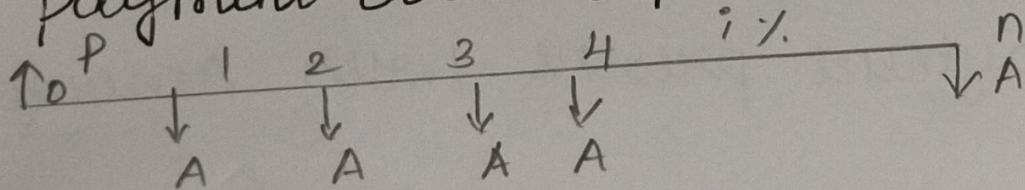
* Equal payment series present Worth Amount:



$$P = \frac{A[(1+i)^n - 1]}{i(1+i)^n} = A(P/A, i, n)$$

Where $(P/A, i, n)$ is equal-payment series present Worth factor.

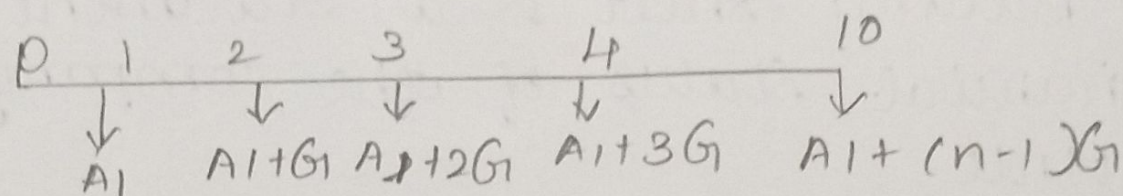
* Equal payment series Capital Recovery Amount:



$$A = P \frac{i(1+i)^n}{(1+i)^n - 1} = P(CA/P, i, n)$$

Where, $(CA/P, i, n)$ is called equal-payment series Capital Recovery Amount Factor.

* Uniform gradient series Annual equivalent Amount:



$$A = A_1 + G \frac{(1+i)^n - in - 1}{i(1+i)^n - i} = A_1 + G (A/G, i, n)$$

Where $(A/G, i, n)$ is called uniform gradient series factor.

3) Create a balance sheet and profit & loss statement
PROFIT AND LOSS STATEMENT:

* Income statement or profit loss statement is statement of revenues and expenses for a specified period of time.

* The income statement reports the results of operation of a given period.

* The statement starts with a report of income for the period, from which are deducted all the costs incurred as a result of operations

Profit and Loss Statement

A. B. C CO.

Income statement

Month ended march 31, 2026.

Revenues:

Sales - - - - - Rs. 50,000

Expenses:

Cost of goods sold - - - - - Rs. 25,000

Selling expenses - - - - - Rs. 8,000

Administrative expenses - - - - - Rs. 10,000

Total expenses - - - - - Rs. 43,000

Income tax - - - - - Rs. 5,000

Net Income (Net profit) - - - - - Rs. 38,000

Balance Sheet :

* A Balance sheet is a statement showing the financial status of the company at any given time.

* A Balance sheet is a statement of assets, Liabilities and Capital (or net worth) at a specified date.

* Balance sheets are prepared at least annually but may be done so more often and on specific occasions when the need exists in connection with making decisions concerning large project investments, dividend, distribution etc.

Balance sheet of corporation

A.B.C CO,
Balance sheet
March 31, 2026

LIABILITIES	Rs.	ASSETS	Rs.
Capital	1,00,000	Cash	30,000
Add net profit	49,000	Machinery	70,000
Total Capital	1,49,000	Furniture	20,000
Bank loan	30,000	Debtors	40,000
Creditors	20,000		
Outstanding expenses	10,000		